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India's fast-growing young workforce is [an] advantage few countries enjoy. This alone can help it leapfrog to a high growth trajectory

WILL POVERTY STILL HAUNT INDIA IN 2047?

Economic growth is needed, but inclusion and sustainability are equally important to reduce poverty and improve the living conditions of vast sections of the population

► **GROWTH IS NOT** the sole objective of economic policy. It is necessary to ensure that the benefits of growth accrue to all sections. Eradication of poverty is thus an important objective. The objective of this article is to (a) examine briefly the recent trends in poverty and (b) look at the strategies needed to reduce or eliminate income and multidimensional poverty by 2047.

RECENT TRENDS

The estimates by R. Rangarajan and myself (2025) show that poverty ratios (rural + urban) declined from 29.5% in 2011-12 to 9.5% in 2022-23 and to 4.9% in 2023-24. Recently, World Bank (2025) released a brief on Poverty & Equity for over 100 developing countries. The brief says India has significantly reduced poverty over the past decade. Extreme poverty (living on less than \$2.15 per day in purchasing power parity terms) declined from 16.2% in 2011-12 to 2.3% in 2022-23, lifting 171 million people above this line. Using the \$3.65 per day poverty line for lower-middle-income countries, poverty fell from 61.8% to 28.1%.

Another notable achievement is that there has been a significant decline in poverty between 2022-23 to 2023-24. In one year, poverty declined from 9.5% in 2022-23 to 4.9% in 2023-24. What are the reasons for a significant decline of poverty in one year? It looks like GDP growth could be a proximate reason for reduction in poverty in 2023-24.

Inequality in consumption also declined during the period 2011-12 to 2022-23 and from 2022-23 to 2023-24. The Gini coefficient estimated by the National Statistical Office shows that inequality fell from 0.310 in 2011-12 to 0.282 in 2022-23. The decline in inequality was higher for urban areas during this period. Inequality in consumption declined significantly in one year between 2022-23 to 2023-24. Gini coefficient fell from 0.282 in 2022-23 to 0.253 points in 2023-24.

A recent World Bank report says India has been ranked fourth in income equality globally with a score of 25.5 on the Gini Index after Slovak Republic (24.1), Slovenia (24.3), and Belarus (24.4), emerging as one of the world's most equal societies. India's Gini Index is lower than China (35.7) and the US (41.8).